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Bachelor of Technology

Engineering Economics

Unit IV: Indian Economy

Indian Economy: Features of Indian Economy, Fiscal and Monetary policy,

LPG, Inflation, Banking, World Economic bodies (05 Hours)

❖ **Indian Economy**

Indian Economy

The Indian economy refers to the economic system of India, which includes the production, distribution, and consumption of goods and services in the country. It is one of the fastest-growing economies in the world and is characterized by a mix of agriculture, manufacturing, and services.

Key Features of the Indian Economy:

1. **Mixed Economy:**
   - India is a mixed economy, meaning both the private sector and the government participate in economic activities.
   - Example: Private companies like Tata and Infosys coexist with government-owned entities like Indian Railways and LIC.
2. **Agriculture-Driven:**
   - Agriculture plays a significant role in the Indian economy, employing a large portion of the population.
   - Example: India is a major producer of crops like rice, wheat, and sugarcane.
3. **Service Sector Dominance:**
   - The service sector is the largest contributor to India's GDP.
   - Example: IT services from companies like Wipro, Infosys, and TCS are exported worldwide.
4. **Large Population:**

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- India has the second-largest population in the world, providing a vast labor force and market.
- Example: India's population drives demand for goods like smartphones and food products.

5. **Developing Economy:**
   - India is a developing economy with challenges like poverty, unemployment, and income inequality.
   - Example: Initiatives like "Skill India" aim to reduce unemployment.

Sectors of the Indian Economy:

1. **Primary Sector (Agriculture):**
   - Involves farming, fishing, forestry, and mining.
   - Example: Cultivating crops like rice and cotton.
2. **Secondary Sector (Manufacturing):**
   - Involves industries that process raw materials into finished goods.
   - Example: Factories producing steel, textiles, and automobiles.
3. **Tertiary Sector (Services):**
   - Provides services like IT, healthcare, banking, and education.
   - Example: Call centres and software exports.

Indian Economy's Key Strengths:

1. **Diverse Resources:**
   - India has abundant natural resources like coal, iron ore, and fertile land.
   - Example: India is the world's second-largest coal producer.
2. **Skilled Workforce:**
   - A large, young population with growing education levels.
   - Example: India's IT professionals are in demand globally.
3. **Global Trade:**
   - India is a major exporter of goods and services.
   - Example: India exports tea, spices, pharmaceuticals, and software.

Challenges of the Indian Economy:

1. **Poverty:**

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- A significant portion of the population lives below the poverty line.
- Example: Government programs like PMAY aim to provide affordable housing.

2. **Unemployment:**
   - Many young people lack stable jobs.
   - Example: Initiatives like "Make in India" aim to create jobs.
3. **Infrastructure Development:**
   - India faces challenges in developing roads, ports, and power supply.
   - Example: Projects like the Delhi-Mumbai Industrial Corridor aim to boost infrastructure.

Government Initiatives:

1. **Make in India:**
   - Encourages manufacturing in India to boost the economy and create jobs.
2. **Digital India:**
   - Promotes digital literacy and internet connectivity.
3. **Start-up India:**
   - Supports entrepreneurship and innovation.

Example of Indian Economy in Action:

- **Agriculture:** A farmer grows wheat, which is then sold to a mill for processing.
- **Manufacturing:** The wheat is processed into flour in a factory.
- **Services:** The flour is sold in stores and delivered to customers through e-commerce platforms.

❖ Features of the Indian Economy

The Indian economy is diverse and dynamic, characterized by its unique structure and challenges. Below are the key features of the Indian economy:

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1. Mixed Economy

- India is a mixed economy where both the private sector and the government play significant roles in economic activities.
- **Example:** Private companies like Infosys and Tata Motors coexist with public entities like Indian Railways and ONGC.

2. Agriculture-Driven Economy

- A large portion of the population is engaged in agriculture, and it contributes significantly to employment and rural development.
- **Example:** India is one of the largest producers of rice, wheat, and sugarcane.

3. Service Sector Dominance

- The service sector contributes the most to India's GDP, especially through IT, banking, healthcare, and education.
- **Example:** Companies like TCS, Wipro, and Infosys export IT services globally.

4. Large and Growing Population

- India has the second-largest population in the world, providing a vast labor force and consumer market.
- **Example:** The growing middle class drives demand for goods like smartphones, automobiles, and food products.

5. Developing Economy

- India is still a developing nation with challenges like poverty, unemployment, and inequality.
- **Example:** Schemes like "Skill India" aim to tackle unemployment and boost development.

6. Diversity of Resources

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- India is rich in natural resources like coal, iron ore, and fertile land, which support its primary and secondary sectors.
- **Example:** India is a leading producer of coal and spices.

7. Dual Nature of Economy

- India has both modern industries (IT, automobiles) and traditional sectors (handicrafts, agriculture).
- **Example:** While Bangalore is known as the IT hub, many rural areas still rely on handloom weaving.

8. Large Informal Sector

- A significant portion of India's workforce is employed in the informal sector, such as small businesses and daily-wage jobs.
- **Example:** Street vendors, small shop owners, and unregistered workers in rural areas.

9. Focus on Industrial Growth

- India is focusing on industrialization to reduce dependence on agriculture and create more jobs.
- **Example:** "Make in India" encourages domestic manufacturing.

10. Export-Oriented Economy

- India exports a wide range of goods and services, including software, textiles, spices, and pharmaceuticals.
- **Example:** India is one of the largest exporters of generic medicines and software services.

11. Economic Disparities

- There are significant income and development disparities between urban and rural areas.
- **Example:** Cities like Mumbai and Delhi are highly developed, while many villages lack basic infrastructure.

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12. Government-Initiated Reforms

- India has implemented several reforms to boost economic growth and attract foreign investment.
- **Example:** Liberalization, privatization, and globalization policies in 1991 opened the economy to the global market.

13. High Potential for Growth

- India's young workforce, large domestic market, and growing innovation provide immense potential for economic growth.
- **Example:** The start-up ecosystem in India is thriving, with unicorns like Flipkart and Byju's leading the way.

Example of the Indian Economy:

Consider a farmer who grows wheat:

1. Agriculture: The farmer produces wheat (primary sector).
2. Industry: The wheat is processed into flour in a factory (secondary sector).
3. Services: The flour is sold through retail shops or online platforms (tertiary sector).

Fiscal and Monetary Policy

Fiscal and monetary policies are tools used by the government and the central bank (RBI in India) to manage the economy, control inflation, encourage growth, and maintain stability.

1. Fiscal Policy

Fiscal policy is the government's plan for managing its income (taxes) and expenses (spending) to influence the economy.

Components of Fiscal Policy:

1. **Government Revenue (Income):**

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- Taxes collected from individuals and businesses.
- **Example:** Income tax, GST (Goods and Services Tax).

2. **Government Expenditure:**
   - Spending on public services like healthcare, education, infrastructure, and welfare programs.
   - **Example:** Building highways, funding schools.

Types of Fiscal Policy:

1. **Expansionary Fiscal Policy:**
   - The government spends more or reduces taxes to boost economic growth.
   - **Example:** Lowering income taxes to increase people's purchasing power.
2. **Contractionary Fiscal Policy:**
   - The government reduces spending or increases taxes to control inflation.
   - **Example:** Reducing subsidies to decrease excess money in the economy.

Example of Fiscal Policy:

- During a recession, the government may increase spending on infrastructure projects to create jobs and boost demand.

2. Monetary Policy

Monetary policy is the central bank's (Reserve Bank of India) strategy to control the money supply and interest rates in the economy.

Key Tools of Monetary Policy:

1. **Repo Rate:**
   - The rate at which the central bank lends money to commercial banks.
   - **Example:** RBI reducing the repo rate makes loans cheaper, encouraging spending.
2. **Reverse Repo Rate:**
   - The rate at which the central bank borrows money from banks.
   - **Example:** Raising the reverse repo rate encourages banks to keep money with RBI, reducing money supply.
3. **Cash Reserve Ratio (CRR):**
   - The percentage of deposits banks must keep as reserves with the RBI.

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- **Example:** Increasing CRR reduces the money banks can lend, controlling inflation.

4. **Open Market Operations:**
   - The buying or selling of government securities by the central bank to regulate money supply.
   - **Example:** RBI buying securities increases money supply in the market.

Types of Monetary Policy:

1. **Expansionary Monetary Policy:**
   - The central bank lowers interest rates or increases money supply to boost economic activity.
   - **Example:** RBI cuts repo rates to make loans affordable.
2. **Contractionary Monetary Policy:**
   - The central bank raises interest rates or reduces money supply to control inflation.
   - **Example:** Increasing the CRR to reduce excess liquidity.

Example of Monetary Policy:

- To control rising inflation, the RBI increases the repo rate, making loans expensive and reducing spending.

Differences Between Fiscal and Monetary Policy:

Aspect	Fiscal Policy	Monetary Policy
Controlled By	Government (Finance Ministry)	Central Bank (RBI in India)
Focus	Taxes and government spending	Money supply and interest rates
Objective	Economic growth, employment, welfare	Inflation control, currency stability
Tools	Taxes, subsidies, public spending	Repo rate, CRR, open market operations

- **Fiscal Policy** helps the government manage public funds to influence economic growth and welfare.

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- **Monetary Policy** is used by the central bank to control inflation and stabilize the currency. Both policies work together to ensure economic stability and growth.

LPG: Liberalization, Privatization, and Globalization

LPG refers to the economic reforms introduced in India in 1991 to improve the country's financial health and integrate it with the global economy. These reforms are known as **Liberalization, Privatization, and Globalization**.

1. Liberalization

Definition:
Liberalization means reducing government controls and restrictions on businesses and industries to encourage growth and efficiency.

Key Features:

- Removal of licenses and quotas for industries.
- Easing restrictions on imports and exports.
- Encouraging private investment and competition.

Example:

Before liberalization, companies needed a license to manufacture many products. After 1991, such licenses were removed, making it easier for businesses to operate.

2. Privatization

Definition:
Privatization involves transferring ownership and control of government-owned businesses to private individuals or companies.

Key Features:

- Selling public sector companies to private players.
- Encouraging efficiency and profitability in industries.

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Example:

Air India, a government-owned airline, was privatized by selling it to a private company to improve operations and reduce losses.

3. Globalization

Definition:
Globalization refers to integrating the Indian economy with the world economy, allowing free movement of goods, services, capital, and technology.

Key Features:

- Reducing trade barriers like import duties.
- Encouraging foreign direct investment (FDI).
- Promoting international trade and collaborations.

Example:

Companies like Amazon, Apple, and Samsung now operate in India due to globalization.

Why Was LPG Introduced in India?

1. **Economic Crisis in 1991:**
   - India faced a severe financial crisis with low foreign reserves and high inflation.
2. **High Fiscal Deficit:**
   - The government was spending more than it earned, leading to debt.
3. **Need for Growth:**
   - The existing policies were not sufficient to encourage economic development.

Impact of LPG Reforms:

Positive Impacts:

1. **Economic Growth:**
   - India's GDP grew significantly after the reforms.
   - **Example:** IT companies like Infosys and TCS expanded globally.

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2. **Foreign Investment:**
   - FDI increased, bringing in capital and technology.
   - **Example:** Automakers like Hyundai and Ford set up plants in India.
3. **Increased Competition:**
   - Indian companies improved their quality to compete with global brands.
   - **Example:** Maruti Suzuki faced competition from international car brands.
4. **Export Growth:**
   - India became a major exporter of IT services, textiles, and pharmaceuticals.

Challenges:

1. **Income Inequality:**
   - The benefits of reforms were not evenly distributed, increasing the gap between rich and poor.
2. **Dependence on Imports:**
   - Liberalization led to increased imports, impacting local industries.
3. **Privatization Concerns:**
   - Fear of job losses in public sector enterprises.

❖ Inflation

Inflation is the rate at which the general level of prices for goods and services rises over a period of time, reducing the purchasing power of money. It means you need more money to buy the same item compared to before.

Features of Inflation:

1. **Rise in Prices:**
   - The cost of goods and services increases.
   - **Example:** A loaf of bread that cost ₹20 last year now costs ₹25.
2. **Decrease in Purchasing Power:**
   - Money loses its value over time.
   - **Example:** ₹1,000 can buy fewer items today compared to 5 years ago.
3. **Measured by Price Index:**
   - Inflation is tracked using indices like the **Consumer Price Index (CPI)** or **Wholesale Price Index (WPI).**

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Types of Inflation:

1. **Demand-Pull Inflation:**
   - Happens when demand for goods and services exceeds supply.
   - **Example:** Increased demand for housing raises property prices.
2. **Cost-Push Inflation:**
   - Occurs when the cost of production rises, leading to higher prices.
   - **Example:** A rise in crude oil prices increases transportation costs, making goods more expensive.
3. **Built-In Inflation:**
   - When workers demand higher wages to cope with rising costs, and businesses pass these costs onto consumers.

Causes of Inflation:

1. **Increased Demand:**
   - Higher consumer spending or government expenditure.
   - **Example:** Festivals or economic recovery boosts demand for goods.
2. **Supply Shortages:**
   - Reduced supply due to natural disasters or production issues.
   - **Example:** A poor monsoon increases food prices.
3. **Increase in Production Costs:**
   - Higher raw material or labour costs.
   - **Example:** Rising steel prices make cars more expensive.
4. **Money Supply Growth:**
   - Excessive printing of money by the government.
   - **Example:** If too much money is in circulation, its value decreases.

Effects of Inflation:

Positive Effects:

1. Encourages Spending:
   - People buy goods sooner to avoid paying higher prices later.
2. Economic Growth:
   - Moderate inflation can signal a growing economy.

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Negative Effects:

1. **Erodes Savings:**
   - Money saved loses its value over time.
   - **Example:** ₹1,00,000 saved in 2010 buys less in 2025 due to inflation.
2. **Higher Cost of Living:**
   - Essential items like food and fuel become expensive.
3. **Income Inequality:**
   - Fixed-income earners suffer more as their purchasing power decreases.

Control Measures for Inflation:

1. **Monetary Policy:**
   - The central bank (RBI in India) increases interest rates to reduce money supply.
   - **Example:** Higher interest rates discourage borrowing and reduce spending.
2. **Fiscal Policy:**
   - The government reduces spending or increases taxes to curb demand.
3. **Supply Management:**
   - Ensuring adequate supply of essential goods to control prices.
   - **Example:** Releasing stored grains during a food price hike.

Example of Inflation in Real Life:

- In 2000, a liter of petrol in India cost around ₹25. By 2023, the price increased to ₹100 per liter due to inflation caused by rising crude oil prices and taxes.

❖ Banking

Definition:
Banking refers to the process of accepting deposits from the public, lending money, and offering various financial services such as saving accounts, loans, and fund transfers. Banks act as financial intermediaries between depositors and borrowers.

Key Functions of Banking:

1. **Accepting Deposits:**

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- Banks accept money from individuals and businesses, providing a safe place to store funds.
- **Example:** A person deposits ₹10,000 in a savings account for future use.

2. **Providing Loans:**
   - Banks lend money to individuals or businesses for various purposes, such as buying a home or starting a business.
   - **Example:** A business takes a ₹5 lakh loan to expand operations.
3. **Facilitating Payments and Transfers:**
   - Banks help in transferring money between accounts and making payments digitally or through checks.
   - **Example:** Sending ₹2,000 to a friend via internet banking.
4. **Credit Creation:**
   - Banks lend more money than they receive as deposits by creating credit, boosting economic activities.
   - **Example:** A bank grants loans to farmers for crop production, helping the economy grow.
5. **Investment Services:**
   - Banks offer investment options like fixed deposits, mutual funds, and bonds.
   - **Example:** A customer invests in a fixed deposit for a guaranteed return.
6. **Providing Financial Advice:**
   - Banks guide customers on managing their money and investments.
   - **Example:** Advising a client to invest in mutual funds for long-term growth.

Types of Banks:

1. **Commercial Banks:**
   - Provide general banking services like savings accounts, loans, and fund transfers.
   - **Example:** State Bank of India (SBI), ICICI Bank.
2. **Central Bank:**
   - Regulates the country's banking system and issues currency.
   - **Example:** Reserve Bank of India (RBI).
3. **Cooperative Banks:**
   - Serve rural and semi-urban areas, focusing on agriculture and small businesses.
   - **Example:** District Cooperative Bank.
4. **Development Banks:**

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- Provide long-term financial support for industrial and infrastructural development.
- **Example:** Industrial Development Bank of India (IDBI).

5. **Payment Banks:**
   - Offer basic banking services like deposits and transfers but do not provide loans.
   - **Example:** Paytm Payments Bank.

Benefits of Banking:

1. **Safe Storage of Money:**
   - Banks provide a secure way to keep money safe.
   - **Example:** Using a savings account instead of keeping cash at home.
2. **Access to Credit:**
   - Loans help individuals and businesses meet financial needs.
   - **Example:** A student takes an education loan for higher studies.
3. **Economic Growth:**
   - Banks support industries and agriculture, driving economic progress.
   - **Example:** Financing a factory setup increases employment and production.
4. **Convenience:**
   - Online banking allows quick transactions anytime, anywhere.
   - **Example:** Paying electricity bills via mobile banking.

Example of Banking in Action:

- **Deposits:** Ramesh deposits ₹50,000 in his bank account to save for future expenses.
- **Loan:** The bank uses these deposits to lend ₹40,000 to Sita for her small business.
- **Interest:** The bank pays Ramesh 4% interest on his savings and charges Sita 8% interest on her loan, making a profit of 4%.

Challenges in Banking:

1. **Non-Performing Assets (NPAs):**
   - Loans that borrowers fail to repay affect the bank's financial health.
2. **Frauds and Cyber Threats:**
   - Online frauds and hacking pose risks to customer accounts.

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3. **Financial Inclusion:**
   - Reaching rural and underprivileged areas is still a challenge.

❖ World Economic Bodies

World economic bodies are international organizations that work to promote global economic stability, development, trade, and cooperation among countries. These bodies address issues like poverty, trade disputes, financial crises, and sustainable growth.

Major World Economic Bodies

1. International Monetary Fund (IMF)

- **Role:**
  - Ensures global financial stability by providing financial assistance and advice to countries facing economic crises.
- **Functions:**
  - Offers loans to countries in financial trouble.
  - Monitors global economic trends.
- **Example:**
  - In 1991, the IMF provided financial assistance to India during its economic crisis.

2. World Bank

- **Role:**
  - Provides financial and technical support for development projects to reduce poverty and boost shared prosperity.
- **Functions:**
  - Funds projects in sectors like health, education, and infrastructure.
  - Supports economic reforms in developing countries.
- **Example:**

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- The World Bank funded India's rural electrification program to bring electricity to villages.

3. World Trade Organization (WTO)

- **Role:**
  - Regulates international trade and resolves trade disputes between countries.
- **Functions:**
  - Sets rules for global trade.
  - Ensures free and fair trade among member countries.
- **Example:**
  - WTO resolved a dispute between India and the US over agricultural subsidies.

4. United Nations Conference on Trade and Development (UNCTAD)

- **Role:**
  - Promotes trade and development, focusing on helping developing countries integrate into the global economy.
- **Functions:**
  - Researches trade policies.
  - Provides technical assistance to developing countries.
- **Example:**
  - UNCTAD helps small nations improve their export capabilities.

5. Organization for Economic Co-operation and Development (OECD)

- **Role:**
  - Promotes economic growth, employment, and improved living standards among member countries.
- **Functions:**
  - Conducts research and provides policy recommendations.
  - Fosters collaboration on economic and social issues.
- **Example:**
  - OECD reports on global economic trends help countries plan their policies.

6. Asian Development Bank (ADB)

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- **Role:**
  - Promotes social and economic development in Asia and the Pacific.
- **Functions:**
  - Provides loans and grants for development projects.
  - Supports infrastructure development.
- **Example:**
  - ADB funded metro projects in cities like Bengaluru and Delhi.

7. BRICS (Brazil, Russia, India, China, South Africa)

- **Role:**
  - Enhances economic cooperation among emerging economies.
- **Functions:**
  - Promotes trade and investment among member countries.
  - Establishes initiatives like the New Development Bank (NDB).
- **Example:**
  - NDB funds sustainable development projects in member countries.

Why Are World Economic Bodies Important?

1. **Economic Stability:**
   - Help countries recover from financial crises.
   - **Example:** IMF assistance during the Greek debt crisis.
2. **Promote Development:**
   - Fund infrastructure and social projects in developing nations.
   - **Example:** World Bank's projects to improve education in Africa.
3. **Encourage Global Trade:**
   - Ensure smooth international trade without barriers.
   - **Example:** WTO agreements reduce tariffs on goods.
4. **Tackle Global Challenges:**
   - Address issues like poverty, climate change, and inequality.
   - **Example:** UNCTAD supports green trade initiatives.

Example of Their Role in Real Life

- **IMF:** Helped Sri Lanka in 2022 by providing funds to stabilize its economy after a severe financial crisis.

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- **World Bank:** Supported India's Swachh Bharat Mission to improve sanitation.
- **WTO:** Negotiated trade rules during the COVID-19 pandemic to ensure fair vaccine distribution.